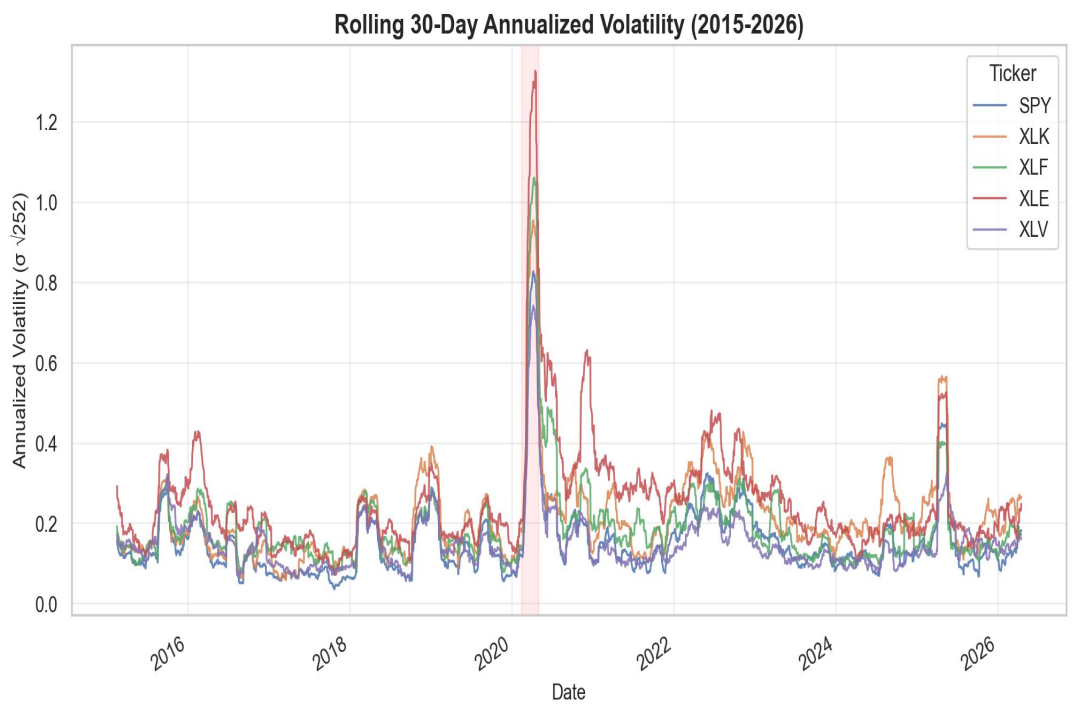
A Decade of Sector Volatility



Key Finding:

Volatility is not constant as it moves in clusters. Long calm stretches of 10-15% annualized volatility clash with sharp spikes to 40%+ during crises. Notably, XLE (Energy) reaches roughly 130% during the March 2020 COVID crash.

Results:

- Common factor during crisis: volatility spikes hit every sector at the same time
- XLE is consistently the most volatile sector in the sample
- Linear return models cannot capture this behavior. Volatility provides real predictability, not returns